LUXORA FINANCE LTD.

Money Services Business | Canada

BLACKLISTED COUNTRIES & PROHIBITED VERTICALS

Prohibited Jurisdictions & Restricted Business Policy

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1. PURPOSE

This Prohibited Jurisdictions and Restricted Business Policy ('the Policy') establishes the list of countries and territories with which Luxora Finance Ltd. will not conduct business or to which it will not facilitate the transfer of funds, as well as the categories of business activities and client types (verticals) that Luxora refuses to service. It further identifies jurisdictions requiring Enhanced Due Diligence (EDD).

This Policy is effective immediately and is reviewed and updated upon: publication of new FATF grey/black list designations, changes to Canadian autonomous sanctions, and at minimum every six months.

2. REGULATORY AND LEGAL BASIS

Authority	Relevance to This Policy
FATF High-Risk Jurisdictions (Black List)	Countries identified by FATF as having critical AML/CFT deficiencies and subject to a Call for Action. Transactions effectively prohibited.
FATF Jurisdictions Under Increased Monitoring (Grey List)	Countries with identified deficiencies working with FATF to improve. Enhanced Due Diligence mandatory for all transactions.
Special Economic Measures Act (SEMA) — Canada	Canadian autonomous sanctions targeting specific countries, individuals, and entities. Transactions generally prohibited.
United Nations Act — Canada	Implements UN Security Council sanctions in Canada. Transactions with designated persons/entities are criminal offences.
Justice for Victims of Corrupt Foreign Officials Act (Magnitsky)	Targeted sanctions against individuals responsible for gross human rights violations or corruption.
Freezing Assets of Corrupt Foreign Officials Act (FACFOA)	Freezing of assets of politically exposed foreign persons at the request of foreign governments.
US OFAC SDN List	Monitored as a global best practice for cross-border transactions and USD-denominated transfers.
Transparency International CPI	Countries in the bottom quartile of the Corruption Perceptions Index are flagged for enhanced scrutiny.

3. PROHIBITED JURISDICTIONS — COMPLETE LIST

The following table sets out all jurisdictions where Luxora Finance Ltd. will NOT conduct transactions or accept clients. This list reflects current designations as of April 2026 and is subject to change. The CCO is responsible for updating this list within 5 business days of any new FATF designation or Canadian sanctions order.

Legend: PROHIBITED = No transactions under any circumstances. HIGH RISK EDD = Transactions permitted only with mandatory Enhanced Due Diligence, senior management approval, and CCO sign-off.

Country / Territory	Region	Regulatory / Legal Basis	Luxora Status
Democratic People's Republic of Korea (North Korea)	East Asia	FATF Black List; UN Security Council Sanctions; Canadian Autonomous Sanctions (SEMA)	**PROHIBITED**
Iran	Middle East	FATF Black List; UN Security Council Sanctions; Canadian Autonomous Sanctions	**PROHIBITED**
Myanmar (Burma)	Southeast Asia	FATF Black List; Canadian Autonomous Sanctions (SEMA); OFAC Sanctions	**PROHIBITED**
Russia	Europe/Asia	Canadian Autonomous Sanctions (SEMA — Ukraine); G7 Sanctions Package; OFAC SDN list (key entities)	**PROHIBITED**
Belarus	Europe	Canadian Autonomous Sanctions (SEMA — Belarus); EU & OFAC sanctions	**PROHIBITED**
Cuba	Caribbean	US OFAC CACR; Canadian entities with US nexus at risk; reputational risk	**PROHIBITED**
Venezuela (government entities)	South America	US OFAC; Canadian Autonomous Sanctions; FATF-flagged AML deficiencies	**PROHIBITED**
Syria	Middle East	UN Security Council Sanctions; Canadian Autonomous Sanctions; FATF Black List	**PROHIBITED**
Sudan	Africa	UN Security Council Sanctions; Canadian Autonomous Sanctions; US OFAC	**PROHIBITED**
South Sudan	Africa	UN Security Council Sanctions; significant TF and armed conflict risk	**PROHIBITED**
Central African Republic	Africa	UN Security Council Sanctions; armed conflict; AML/TF deficiencies	**PROHIBITED**
Democratic Republic of Congo	Africa	UN Security Council Sanctions; FATF-flagged deficiencies; conflict minerals ML	**PROHIBITED**
Libya	Africa	UN Security Council Sanctions; Canadian Autonomous Sanctions; ongoing conflict	**PROHIBITED**
Somalia	Africa	UN Security Council Sanctions; Al-Shabaab TF risk; no effective AML framework	**PROHIBITED**
Zimbabwe (targeted sanctions)	Africa	Canadian Autonomous Sanctions; designated individuals; financial sector integrity concerns	**PROHIBITED**

Haiti	Caribbean	FATF Grey List; significant governance and criminal ML risk; gang-related TF	**HIGH RISK EDD**
Burkina Faso	Africa	FATF Grey List; active jihadist terrorism; weak AML framework	**HIGH RISK EDD**
Cameroon	Africa	FATF Grey List; weak AML/CFT controls; armed conflict in regions	**HIGH RISK EDD**
Côte d'Ivoire	Africa	FATF Grey List; improving but ongoing deficiencies	**HIGH RISK EDD**
Ethiopia	Africa	FATF Grey List; ongoing civil conflict; weak AML controls	**HIGH RISK EDD**
Kenya	Africa	FATF Grey List; improving but still flagged; real estate ML risk	**HIGH RISK EDD**
Mali	Africa	FATF Grey List; significant TF from jihadist groups	**HIGH RISK EDD**
Mozambique	Africa	FATF Grey List; natural resource ML; organized crime	**HIGH RISK EDD**
Namibia	Africa	FATF Grey List; improving but under monitoring	**HIGH RISK EDD**
Nigeria	Africa	FATF Grey List; large economy with AML/CFT weaknesses; cybercrime	**HIGH RISK EDD**
Senegal	Africa	FATF Grey List; improving framework; ongoing monitoring	**HIGH RISK EDD**
South Africa	Africa	FATF Grey List; significant financial crime concerns; state capture legacy	**HIGH RISK EDD**
Tanzania	Africa	FATF Grey List; weak AML controls; large informal economy	**HIGH RISK EDD**
Algeria	Africa / MENA	FATF Grey List; deficiencies in AML/CFT framework	**HIGH RISK EDD**
Angola	Africa	FATF Grey List; oil revenue ML risk; beneficial ownership gaps	**HIGH RISK EDD**
Laos	Southeast Asia	FATF Grey List; drug trafficking nexus; weak regulatory framework	**HIGH RISK EDD**
Philippines	Southeast Asia	FATF Grey List; casino ML risk; offshore financial sector concerns	**HIGH RISK EDD**
Vietnam	Southeast Asia	FATF Grey List; improving but ongoing deficiencies; informal economy	**HIGH RISK EDD**
Guatemala	Central America	FATF Grey List; narco-trafficking ML risk; judicial independence concerns	**HIGH RISK EDD**
Honduras	Central America	FATF Grey List; narco-trafficking; gang-related TF risk	**HIGH RISK EDD**
Nicaragua	Central America	FATF Grey List; Canadian Autonomous Sanctions; governance concerns	**HIGH RISK EDD**
Lebanon	Middle East	FATF Grey List; Hezbollah TF risk; banking sector collapse; weak controls	**HIGH RISK EDD**
Yemen	Middle East	FATF Grey List; ongoing conflict; AQAP TF risk; UN arms embargo	**HIGH RISK EDD**
Bulgaria	Europe	FATF Grey List; organized crime ML; EU AML blacklist history	**HIGH RISK EDD**
Croatia	Europe	FATF Grey List; improving; ongoing monitoring	**HIGH RISK EDD**
Monaco	Europe	EU AML concerns; high-value real estate ML; offshore wealth	**HIGH RISK EDD**

British Virgin Islands	Caribbean	UK Overseas Territory; offshore secrecy; significant ML risk for shell companies	HIGH RISK EDD
Cayman Islands	Caribbean	Offshore financial centre; improved but ongoing scrutiny; FATF monitoring	HIGH RISK EDD
Panama	Central America	Panama Papers legacy; improving but ongoing AML concerns; offshore jurisdiction	HIGH RISK EDD
Vanuatu	Pacific	FATF Grey List; citizenship by investment scheme; offshore secrecy	HIGH RISK EDD
Afghanistan	Central Asia	Taliban sanctions; FATF Black List; no functioning AML framework; drug ML	PROHIBITED

4. JURISDICTION MONITORING AND LIST UPDATES

Luxora monitors the following sources for changes to jurisdiction risk status:

- FATF — published three times per year (February, June, October) — www.fatf-gafi.org
- Global Affairs Canada — Canadian Autonomous Sanctions List — www.international.gc.ca/sanctions
- OSFI — Consolidated Canadian Autonomous Sanctions — www.osfi-bsif.gc.ca
- UN Security Council — Consolidated Sanctions List — www.un.org/securitycouncil/sanctions
- Transparency International Corruption Perceptions Index — published annually.
- Financial Intelligence reports from FINTRAC and international FIU partners.

The CCO reviews all FATF publications within 5 business days of release and updates this Policy and the transaction monitoring system accordingly. All updates are logged in the Policy Change Register and communicated to all staff within 10 business days.

5. PROHIBITED BUSINESS VERTICALS AND CLIENT TYPES

In addition to prohibited jurisdictions, Luxora Finance Ltd. will not accept clients or process transactions associated with the following business categories. These verticals present an unacceptably high inherent ML/TF, reputational, or legal risk that cannot be adequately mitigated.

5.1 Absolutely Prohibited Verticals (No Exceptions)

Prohibited Vertical	Rationale
Arms dealers and weapons manufacturers	High TF risk; international arms embargo violations; criminal proceeds laundering vehicle. Canadian and UN sanctions apply.
Unlicensed money services businesses	Unregulated competitors operating illegally; ML layering conduit; PCMLTFA violations.
Darknet marketplace operators	Criminal enterprise by nature; drug/arms/CSAM proceeds; anonymous cryptocurrency transactions.
Shell companies with no genuine business	Opacity in beneficial ownership; primary ML vehicle for layering and integration of illicit funds.
Drug trafficking organizations (known or suspected)	Criminal enterprise; proceeds of crime; PCMLTFA and Criminal Code offences.
Human trafficking and smuggling operations	Modern slavery proceeds; TF for criminal networks; severe Criminal Code offences.
Terrorism-linked organizations or designated persons	PCMLTFA Criminal Code s. 83.02–83.04; UN Act obligations; zero tolerance policy.
Child exploitation material (CSAM) operators	Criminal enterprise; child protection absolute priority; zero tolerance.
Pyramid schemes and unlicensed investment fraud	Securities fraud proceeds; investor harm; Criminal Code and provincial securities violations.

Unlicensed cryptocurrency exchanges (operating illegally)	Non-compliant virtual asset service providers; AML/ATF evasion vehicle.
Sanctioned individuals and entities (any jurisdiction)	SEMA, UN Act, OFAC, OFSI — transactions constituting offences.
Stolen asset recovery operations (fraudulent)	Advance-fee fraud; proceeds of crime.

5.2 Restricted Verticals — Permitted with Enhanced Due Diligence and CCO Approval

The following business types may be accepted as clients but only after completing full Enhanced Due Diligence, obtaining CCO written approval, and establishing clear source of funds. These verticals are subject to heightened ongoing monitoring.

Restricted Vertical	Key Risk	Required Mitigation
Online gambling operators (licensed)	Proceeds from gambling disguised as legitimate winnings; ML typology	Proof of gaming licence from recognized regulator; source of funds for deposits; CCO approval; enhanced monitoring
Cannabis industry (licensed retailers)	Large cash volumes; some jurisdictions remain federally illegal creating banking challenges	Proof of Health Canada or provincial licence; documented banking relationship; cash deposit monitoring
Pawn shops and cash-intensive retailers	Cash conversion risk; structuring risk; receiving stolen goods proceeds	Business licence; AML policy confirmation; source of cash documentation; transaction limits
Real estate agents and developers	High-value ML layering vehicle; Designated Reporting Entity under PCMLTFA	Proof of real estate licence; client's source of funds for specific transactions; FINTRAC registration confirmation
Money lenders and microfinance (licensed)	Interest-based schemes; unlicensed lending risk; proceeds layering	Proof of provincial lending licence; regulatory compliance confirmation; client identification chain
Import/export businesses (high-risk commodities)	Trade-based ML (TBML); over/under-invoicing; commodity smuggling	Trade documents; counterparty verification; commodity classification review; transaction purpose confirmation
Precious metals and stones dealers	High-value portable assets; anonymous purchase risk; ML integration	FINTRAC registration (reporting entity); client identification chain; source of funds for large transactions
Art and luxury goods dealers	Opacity in valuation; high ML risk per FATF Recommendation 22	Dealer AML policy; source of funds; artwork provenance documentation for transactions above CAD $10,000
High-value used vehicle dealers	Cash-for-car ML schemes; title fraud	Dealer licence; transaction documentation; source of funds; no cash transactions above CAD $3,000
Cryptocurrency exchanges and virtual asset service providers (licensed)	VC inherent ML/TF risk; privacy coin exposure; mixing service risk	FINTRAC MSB registration; AML policy review; Travel Rule compliance confirmation; no privacy coin acceptance
Non-governmental organizations (international)	TF risk through charitable funds; complex fund flows; opaque beneficiaries	CRA charity registration; board governance documents; beneficiary country review; EDD on all foreign remittances
Student and academic institutions (foreign)	Tuition fee ML; visa fraud; foreign-government-linked institutions	Institution accreditation; purpose documentation; payer/student relationship confirmation

6. PROHIBITED PAYMENT TYPES AND CHANNELS

Regardless of client type or jurisdiction, Luxora Finance Ltd. will not accept or process the following payment types or channels:

Prohibited Payment Type / Channel	Reason
Anonymous cryptocurrency (Monero, Zcash, Dash, etc.) — no-KYC transactions	Cannot satisfy Travel Rule or identify sender/receiver; TF and ML risk
Cash transactions above CAD $10,000 (except where LCTR filed)	PCMLTFA LCTR requirements; structuring risk
Third-party payer (unrelated to the client's stated purpose)	ML layering risk; inability to verify source of funds
Payments from or to anonymous or pseudonymous accounts	Identity verification impossible; regulatory non-compliance
Hawala or informal value transfer networks	Unregulated; opaque fund flows; TF vehicle
Transactions involving mixing or tumbling services (VC)	Deliberate obfuscation of transaction trail; ML indicator
Payments where beneficiary information is missing or false (Travel Rule violation)	FINTRAC EFT/Travel Rule requirements; compliance violation
Payments from banks or MSBs on Luxora's Denied Correspondent List	Correspondent relationship risk; shell bank prohibition

7. DENIED PERSONS AND ENTITIES LIST

Luxora maintains an internal Denied Persons and Entities List ('DPEL'), separate from external sanctions lists, which records:

- Clients or entities that Luxora has previously refused, terminated, or blacklisted due to compliance concerns.
- Individuals or entities flagged by FINTRAC, law enforcement, or other financial intelligence as ML/TF risks, where Luxora has been made aware.
- Former clients whose transactions were associated with filed STRs.

The DPEL is maintained by the CCO and screened against for all new clients and business relationships. The DPEL is reviewed quarterly for accuracy and currency. Access to the DPEL is restricted to the CCO, Deputy CCO, and authorized compliance staff.

8. ESCALATION PROCEDURES

When a client, transaction, or inquiry involves a prohibited jurisdiction or restricted vertical:

1. The employee immediately stops processing and does NOT inform the client of the reason (to avoid tipping off).
2. The employee completes an internal escalation notice to the CCO within 1 hour.
3. The CCO reviews the matter within 4 business hours.
4. If a prohibited jurisdiction / sanctioned person is involved, the CCO contacts legal counsel and, where required, Global Affairs Canada and FINTRAC.
5. Funds involved in a sanctions match are frozen pending legal clearance.
6. All escalations are documented in the compliance log regardless of outcome.

9. GOVERNANCE

Policy Owner	Chief Compliance Officer
Update Trigger	FATF publication dates (Feb / Jun / Oct); new Canadian sanctions orders; internal risk assessment
Update Timeline	Within 5 business days of designation change
Staff Communication	Within 10 business days of any update
Board Reporting	Changes to prohibited jurisdiction list reported at next Board meeting
Review Frequency	At minimum semi-annually; immediately upon FATF/sanctions update

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